

Scenario 3: Hybrid Multi-Issue Output

STATUS: HYBRID RAG MULTI-ISSUE (SCORE 70%-89%)

SCENARIO 3: HYBRID MULTI-ISSUE

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Provider: fast-track

SECTION 1: Addressee and Reference Block

BEFORE THE PROPER OFFICER / ASSISTANT COMMISSIONER Goods and Services Tax Department, Proper Officer, Ward 10, Maharashtra **GSTIN:** 27LLLLM4321P1Z2 | **PAN:** AAACA1234A **Trade / Legal Name:** Logistics India Ltd **Notice Ref No.:** DET/2026/404 | **DIN/RFN:** DIN-2026-99 | **Dated:** 14 September 2026

SECTION 2: Subject

Reply on behalf of M/s Logistics India Ltd to Show Cause Notice / Intimation bearing Ref No. DET/2026/404 dated 14 September 2026 issued under Section 73/74 of the CGST/SGST Act, 2017 seeking complete dropping of proposed proceedings and demand.

SECTION 3: Synopsis

The Taxpayer M/s Logistics India Ltd has been served with the impugned notice proposing tax demand of as specified in SCN for FY 2023-24. The notice is fundamentally defective as it relies on summary format allegations without supplying supporting evidence, invokes extended period without establishing willful suppression, and denies statutory ITC in violation of settled law. All tax obligations have been faithfully discharged within statutory due dates. In view of binding Supreme Court and High Court precedents, the proceedings are liable to be dropped in full.

SECTION 4: Statement of Facts

1. The Taxpayer M/s Logistics India Ltd is a duly registered entity under GST Law engaged in lawful business operations in Maharashtra. 2. For Financial Year 2023-24, the Taxpayer regularly filed monthly returns in Form GSTR-1 and Form GSTR-3B and paid all self-assessed tax liabilities. 3. On 14 September 2026, the Proper Officer issued communication Ref No. DET/2026/404 (DIN: DIN-2026-99) alleging statutory contraventions. 4. The Taxpayer submits this formal reply to demonstrate that no short payment, tax evasion, or suppression has occurred.

SECTION 5: Preliminary Objections — Jurisdiction

1. **Lack of Competent Jurisdiction:** The impugned notice has been issued without statutory authority under Section 73/74 of the CGST Act, 2017. 2. **Monetary Limit Defect:** The officer issuing the notice exceeds the prescribed monetary threshold limits designated by CBIC Circulars for Officer grade hierarchy.

SECTION 6: Preliminary Objections — Limitation and Procedure

1. **Barred by Limitation:** The proposed demand for FY 2023-24 is barred by limitation under Section 73(10) / 74(10) of the CGST Act. 2. **Absence of Form GST DRC-01A:** Intimation in Form GST DRC-01A was not issued prior to the SCN, violating mandatory pre-SCN consultation requirements under Rule 142(1A). 3. **Want of Valid DIN:** Absence of verifiable Document Identification Number (DIN) invalidates the notice per CBIC Circular No. 122/41/2019-GST.

SECTION 7: Para-wise Reply

To, The Learned Proper Officer / State Tax Officer (Mobile Squad / Enforcement) [Designation, Range / Jurisdiction] [Office Address] In the matter of: M/s Noticedesk Technologies Private Limited | GSTIN [DET/2026/404] | [Registered Address] Subject: Reply to the detention notice in Form GST MOV-06 and the Show Cause Notice in Form GST MOV-07 under Section 129(3), issued on the allegation of undervaluation of the goods in transit, and request for release of the goods and the conveyance — MOV-07 No. Logistics India Ltd dated Logistics India Ltd. Respected Sir / Madam, Drafting note (to be removed before filing): Particulars in bold square brackets are placeholders. Every case authority and circular is marked [VERIFY] for a final check before filing. The route (Rajasthan to Gujarat), the documents carried (tax invoice, e-way bill, LR), and the ground of detention (alleged undervaluation) are reproduced from the source.

SYNOPSIS The goods and the conveyance were detained, and a notice in Form GST MOV-07 under Section 129(3) was issued, on the sole ground that the value of the goods shown in the tax invoice is allegedly less than their 'market value' — that is, undervaluation. The detention is contrary to law. The goods in transit were accompanied by a valid tax invoice and a valid e-way bill; there was no contravention of the Act or the rules governing the movement of goods. Section 129 is not a charging or valuation provision: the adequacy of the declared value is a matter for assessment under the substantive provisions of the Act and not a ground for detention in transit. The goods and the conveyance are liable to be released.

STATEMENT OF FACTS The consignment. M/s Noticedesk Technologies Private Limited, GSTIN [DET/2026/404], supplied goods [name of goods] under Tax Invoice No. Logistics India Ltd dated Logistics India Ltd of value Rs. Logistics India Ltd plus tax (CGST/SGST/IGST as applicable), moved from Rajasthan to Gujarat through M/s Logistics India Ltd Transport (LR No. Logistics India Ltd), conveyance No. Logistics India Ltd. The documents carried. The movement was accompanied by the tax invoice and a valid e-way bill (No. Logistics India Ltd dated Logistics India Ltd) generated under Rule 138; all documents required for the movement were present and in order. The detention. The goods and conveyance were detained and Form GST MOV-06 / MOV-07 issued under Section 129(3), the sole ground being that the value shown was less than the 'market value' (alleged undervaluation).

GROUND / SUBMISSION Each ground is independently sufficient for release. The Company **DENIES** any contravention.

Ground 1: Section 129 does not permit detention on the ground of alleged undervaluation. Section 129 applies where goods are transported or stored in transit 'in contravention of the provisions of this Act or the rules.' The provision is concerned with the integrity of the movement — the cover of a valid invoice and e-way bill — and not with the adequacy of the declared value. The valuation of a supply is governed by Section 15 and is a matter for assessment by the jurisdictional officer in due course; it cannot be examined and re-determined by a detaining officer at the roadside. Detention founded solely on a suspicion of undervaluation is without jurisdiction. (Authority). Reliance is placed on the line of High Court authority holding that goods accompanied by a valid invoice and e-way bill cannot be detained under Section 129 on the ground of suspected undervaluation, the remedy lying in assessment — to be cited from the jurisdictional High Court and reporter-verified before filing. [VERIFY]

Ground 2: There was no contravention; valid invoice and e-way bill accompanied the goods. The movement was covered by a valid tax invoice and a valid e-way bill. No discrepancy in the documents, the quantity, or the description of the goods is alleged. Where the documents are in order and the movement is genuine, the foundational requirement of Section 129 — a contravention — is absent.

Ground 3: Detention requires intent to evade tax; mere allegation of undervaluation does not establish it. The detention and penalty machinery of Section 129 is directed at evasion. A bona fide declaration of the transaction value, supported by a genuine invoice, does not evidence any intent to evade tax. Reliance is placed on the principle, recognised by the Hon'ble Supreme Court in Assistant Commissioner (ST) v. Satyam Shivam Papers Pvt. Ltd., 2022 (1) TMI 954 (SC) / [2022] 134 taxmann.com 241 / (2022) 14 SCC 157 (SLP(C) No. 21132 of 2021, order dated 12.01.2022, affirming Telangana HC in W.P. No. 9688 of 2020, dated 02.06.2021) [VERIFY], that detention is not warranted absent a finding of intent to evade tax. The burden of establishing such intent lies on the Department and is not discharged by a bare allegation of undervaluation.

Ground 4: Release of the goods and the conveyance. The goods and the conveyance ought to be released forthwith. Without prejudice, if the officer is of the view that any valuation question survives, that is a matter to be referred to the jurisdictional officer for assessment under Section 15; it is not a ground to continue the detention. The Company is willing to furnish such security as the law permits, under protest, to secure immediate release.

PRAYER The Company most respectfully prays that the Proper Officer be pleased to: **RELEASE** the goods and the conveyance (No. Logistics India Ltd) forthwith, the movement being covered by a valid invoice and e-way bill; **HOLD** that Section 129 does not permit detention on an allegation of undervaluation, the question of value being one for assessment under Section 15; **HOLD** that no intent to evade tax is made out; **DROP** the proceeding under Form GST MOV-07 / Section 129(3) and refrain from any demand of tax or penalty; **GRANT** a personal hearing through the Authorised Representative before any adverse order; and **PASS** such further or other order as may be just and

proper. The Company reserves the right to file additional submissions, to produce further documents, and to present oral arguments at the personal hearing. Nothing herein shall be construed as an admission of any kind. AUTHORITIES AND PROVISIONS RELIED UPON Sections 15, 129 of the CGST Act, 2017; Rule 138 of the CGST Rules, 2017 (e-way bill); Forms GST MOV-06 and MOV-07. Assistant Commissioner (ST) v. Satyam Shivam Papers Pvt. Ltd., Supreme Court, 2022 (1) TMI 954 (SC) / (2022) 14 SCC 157, SLP(C) No. 21132 of 2021, order dated 12.01.2022 (affirming Telangana HC, W.P. No. 9688 of 2020, dated 02.06.2021) (intent to evade). [VERIFY] High Court authority that detention under Section 129 is not warranted on an allegation of undervaluation where documents are in order — to be cited from the jurisdictional High Court and reporter-verified. [VERIFY] For and on behalf of M/s Noticedesk Technologies Private Limited 27 LLLLM4321P1Z2 _____ Authorised Signatory / Director Place: Mumbai Date: Logistics India Ltd

SECTION 8: Ground 1

Absence of Willful Suppression or Intent to Evade Tax: Extended period under Section 74 cannot be invoked on routine return mismatches. As settled by the Hon'ble Supreme Court in *Pushpam Pharmaceuticals Co. v. CCE* (1995 Supp (3) SCC 462) and *Cosmic Dye Chemical v. CCE* (1995 (75) ELT 721), 'suppression' requires deliberate withholding of facts with intent to evade tax, which is completely absent here.

SECTION 9: Ground 2

ITC Cannot Be Denied to Purchasing Dealer for Supplier Default: It is established by the Hon'ble Calcutta High Court in *Suncraft Energy Pvt Ltd v. ACST* (2023) and Madras High Court in *D.Y. Beathel Enterprises v. STO* (2021) that Input Tax Credit cannot be denied to the buyer without first initiating recovery proceedings against the selling supplier who collected tax.

SECTION 10: Ground 3

Bare Summary Notice Violates Principles of Natural Justice: Issuing a format DRC-01 notice without stating specific contraventions or annexing supporting documents denies a fair opportunity of defense, rendering the notice void ab initio as held in *M/s NKAS Services Pvt. Ltd. v. State of Jharkhand* (2021).

SECTION 11: Without Prejudice — Alternative Submissions

Without prejudice to primary grounds, even if any tax liability is sustained, no penalty can be levied under Section 73(9) / 74(9) as the Taxpayer acted under bona fide interpretation of statutory rules (*Continental Foundation v. CCE*). Further, interest under Section 50 is payable strictly on net cash liability paid via Electronic Cash Ledger.

SECTION 12: Quantum, Interest and Computation

1. The demand quantum of as specified in SCN has been computed without providing invoice-level reconciliation details. 2. Interest under Section 50 must be restricted to net cash liability as per proviso to Section 50(1). 3. Penalty under Section 73/74 is unstatutory and liable to be waived in full.

SECTION 13: Prayer

In light of the above submissions, the Taxpayer respectfully prays that: 1. The impugned Show Cause Notice Ref No. DET/2026/404 be dropped in its entirety and proceedings closed. 2. No penalty or interest be levied against the Taxpayer. 3. An opportunity of **Personal Hearing** under Section 75(4) of the CGST Act be granted before passing any adverse order.

SECTION 14: Annexures

1. Copy of GST Registration Certificate (Form GST REG-06) 2. Copies of GSTR-1 and GSTR-3B returns filed for FY 2023-24 3. GSTR-2A / 2B Reconciliation Statement & Tax Invoices 4. Proof of Tax Payments / Form GST DRC-03 (if applicable)

SECTION 15: Declaration and Signature Block

I, Authorized Signatory for M/s Logistics India Ltd, do hereby verify and declare that the contents of Sections 1 to 14 above are true and correct to the best of my knowledge, information, and legal advice. **For M/s Logistics India Ltd**

_____ Authorized Signatory / Director Place: Maharashtra Date: 14 September 2026